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i&M Bank Kenya HY'25 Earnings Note

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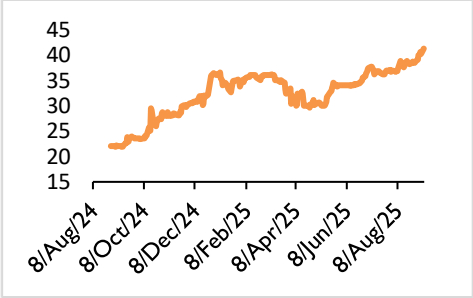


I&M Bank HY'25 Earnings Note

September 9th, 2025

Ticker Information	
NSE Code:	IMH
Issued Shares (Bn):	1.74
52-week high:	KES 41.45
52-week low:	KES 15.80

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	6.0%	14.9%	8.5%	77.5%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 41.20	KES 45.24

Summary

- **I&M Group PLC posted a 36.4% y/y surge in profit after tax (PAT) to KES 8.31Bn in H1'2025, up from KES 6.10Bn in H1'2024**. The strong outturn was supported by a 23.7% y/y rise in net interest income to KES 20.43Bn and a 12.9% y/y increase in non-interest income to KES 6.95Bn. Profitability was further reinforced by efficiency gains, with the cost-to-income ratio easing to 43.0% from 48.0%, even as provisions rose to KES 4.10Bn. The Group's iMara strategy anchored on digital adoption, ecosystem partnerships, and regional diversification, with subsidiaries contributing 24.0% of PBT continues to strengthen earnings resilience and long-term growth prospects.

Key Highlights

- **Earnings Momentum:** Net interest income surged 23.7% y/y to KES 20.43Bn, underpinned by improved asset yields and a modest 2.1%y/y expansion in the loan book to KES 290.26Bn, up from KES 284.15Bn. Corporate and SME lending continued to anchor growth, complemented by steady traction in retail. Non-interest income rose 12.9% y/y to KES 6.95Bn, supported by a 16.1% increase in other fees to KES 2.96Bn from KES 2.55Bn, alongside stronger trade finance and bancassurance revenues. However, FX trading income softened 8.1% y/y to KES 1.67Bn, on the back of reduced currency volatility across regional markets. Digital adoption remained a key driver, with transaction volumes on mobile and online channels doubling y/y, reinforcing recurring fee income. Overall, the topline remained well balanced, with robust funded income and broad-based non-funded growth offsetting currency-related headwinds.
- **Asset Quality:** The Group's asset quality showed resilience, with gross non-performing loans (NPLs) easing slightly to KES 34.37Bn from KES 34.84Bn, translating to an improved NPL ratio of 11.2% from 11.6% a year earlier. Loan loss provisions rose to KES 18.08Bn from KES 15.86Bn, lifting coverage to 62.9% from 57.9% and underscoring the bank's enhanced buffers against potential credit losses. The improvement in NPL ratios alongside stronger provisioning points to a disciplined risk management approach amid a challenging credit environment.

Balance Sheet Dynamics

I&M's balance sheet maintained steady growth, with total assets rising 4.3% y/y to KES 588.92Bn in H1'2025 from KES 564.38Bn in H1'2024. Net loans and advances closed at KES 290.26Bn, a modest 2.1% y/y uplift, reflecting measured credit expansion across corporate and SME segments, alongside cautious retail lending. Customer deposits grew 2.4% y/y to KES 429.37Bn, sustaining a solid funding base. The loan-to-deposit ratio was broadly stable at 67.7%, underscoring a disciplined intermediation approach relative to peers that have leaned more aggressively into lending. Investment securities provided balance sheet support, with a tilt toward government paper helping to cushion earnings against rate volatility. Core capital to assets improved significantly to 17.2% from 14.8%, highlighting a stronger capitalization profile and greater capacity to absorb shocks while supporting future growth. Looking ahead, we see scope for further optimization in H2'2025 as management balances selective credit growth with portfolio reallocation across subsidiaries.

Outlook

We remain constructive on I&M's trajectory, underpinned by its solid capital position and prudent balance sheet management. The bank's loan-to-deposit ratio of 67.7% signals healthy liquidity headroom, while a 17.2% core capital-to-assets ratio provides ample capacity to support future growth. Expansion in corporate and retail lending, coupled with cross-border flows from regional subsidiaries, should sustain earnings momentum in H2'2025.

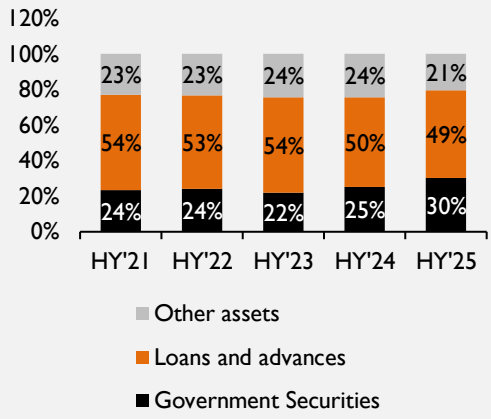
Non-Funded Income from forex trading, transaction banking and advisory services will remain a key earnings stabilizer, offsetting margin pressure in a competitive rate environment.

Asset quality is expected to hold firm below the sector average, aided by disciplined underwriting and conservative provisioning. Meanwhile, ongoing digital investments are set to enhance efficiency, expand reach and deepen customer engagement. With a well-capitalized structure, diversified revenue streams, and a regionally integrated footprint, I&M is well placed to deliver steady growth and reinforce its position as a leading regional lender.

Recommendation

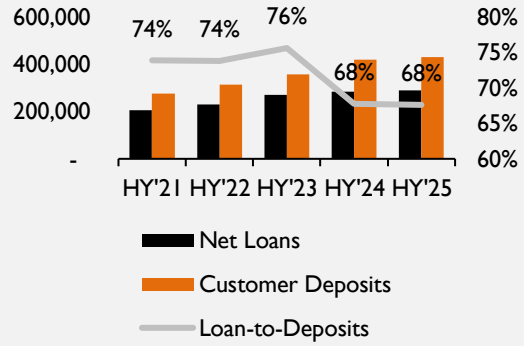
- **We maintain a BUY recommendation on I&M Holdings underpinned by its solid capitalization, improved asset quality with a lower NPL ratio, and steady balance sheet growth.** At the current market price, the stock is trading at P/E ratio of 4.3x and a P/B ratio of 0.7x. Our one-year target price for I&M currently stands at KES 45.24- representing a c 9.8% upside potential from current levels.

Chart 2: Asset Composition



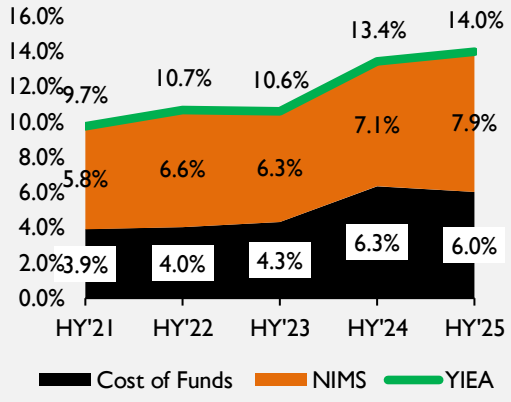
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y change
Net Interest Income	8,865.6	10,521.4	12,214.8	16,513.7	20,434.8	▲ 23.7%
Net non-Interest Income	3,943.8	5,057.8	6,915.6	6,159.7	6,952.3	▲ 12.9%
Total Operating income	**12,809.4**	**15,579.2**	**19,130.4**	**22,673.4**	**27,387.1**	▲ 20.8%
Provision for Impairment	(1,052.8)	(1,309.3)	(3,201.5)	(3,464.2)	(4,065.8)	▲ 17.4%
Total Operating expenses	(7,207.8)	(8,597.0)	(12,542.9)	(14,285.6)	(16,088.6)	▲ 12.6%
Profit before tax	**5,601.5**	**6,982.2**	**6,587.5**	**8,387.8**	**11,298.5**	▲ 34.7%
Profit after tax	**4,249.7**	**4,925.7**	**5,033.7**	**6,096.3**	**8,312.1**	▲ 36.3%
Core EPS Annualized	5.14	5.66	5.77	6.54	9.02	▲ 37.9%

Balance Sheet (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Government Securities	89,935.9	106,367.3	110,645.6	143,132.3	177,874.1	▲ 24.3%
Loans and Advances	204,458.0	231,069.6	269,742.7	284,152.2	290,258.0	▲ 2.1%
Total Assets	**382,036.4**	**439,665.2**	**503,497.9**	**564,383.2**	**588,921.4**	▲ 4.3%
Customer Deposits	276,755.3	313,178.9	356,758.0	419,351.1	429,372.2	▲ 2.4%
Total Liabilities	**311,951.1**	**368,214.7**	**419,388.2**	**471,612.0**	**475,320.7**	▲ 0.8%
Shareholder's Funds	**65,870.0**	**66,523.5**	**78,178.1**	**86,397.4**	**106,520.7**	▲ 23.3%

Ratio Analysis	HY'21	HY'22	HY'23	HY'24	HY'25	y/y % Change
Spreads Analysis						
Yield on Assets	9.7%	10.7%	10.6%	13.4%	14.0%	▲ 0.5%
Cost of Funds	3.9%	4.0%	4.3%	6.3%	6.0%	▼ (0.3%)
Net Interest Margin	5.8%	6.6%	6.3%	7.1%	7.9%	▲ 0.8%
ROaE	12.3%	12.9%	15.6%	16.3%	19.4%	▲ 3.0%
ROaA	2.2%	2.1%	2.4%	2.5%	3.2%	▲ 0.7%
Profit Margin	33.2%	31.6%	26.3%	26.9%	30.4%	▲ 3.5%
Operating Efficiency						
Cost to Income Less LLP	48.1%	46.8%	48.8%	47.7%	43.9%	▼ (3.8%)
Cost to Assets Less LLP	1.6%	1.7%	1.9%	1.9%	2.0%	▲ 0.1%
Loan to Deposit Ratio	73.9%	73.8%	75.6%	67.8%	67.6%	▼ (0.2%)
Asset Quality						
Gross NPL Ratio	10.6%	9.5%	12.9%	11.6%	11.2%	▼ (0.4%)
NPL Coverage	65.4%	77.5%	49.8%	57.9%	62.9%	▲ 5.0%
Cost of Risk	0.5%	0.6%	1.2%	1.2%	1.4%	▲ 0.2%
Capital Adequeny						
Core Capital/TRWA	32.2%	28.8%	14.0%	14.8%	17.2%	▲ 2.4%
Total Capital /TRWA	17.3%	16.4%	17.7%	18.6%	20.5%	▲ 1.9%
Liquidity	38.3%	30.3%	28.7%	35.2%	45.5%	▲ 10.3%



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